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Makalot Industrial | Asia Pacific

3Q26 Sales In-Line; Attractive Entry Point; Keep OW

September sales reached NT\$2.93bn (+24% YoY/–18% MoM), driven by shipment growth of 22% YoY, ASP down 1%, and the balance from FX. Management noted that shipments worth NT\$80mn were delayed to next month due to volatile shipping schedules.

3Q26 sales (+7% YoY) were broadly in line with both our estimates and consensus. Shipments rose 1% (slightly below expectations due to shipment delays and order cherry-picking), ASP was flat, and FX contributed +6%. Based on our simulations, July and August GPM should exceed 3Q26 guidance of 24%.

Makalot kept 4Q26 guidance unchanged, with shipments expected to grow at a low-single-digit YoY rate, ASP up 5–7% (supported by cherry-picking higher-ASP, higher-profit orders), and GPM at 26% (–0.7ppt YoY).

We continue to expect Makalot's 2026 earnings to return close to peak levels. Our net income forecast of NT\$3.9bn is back to the 2023 level and only a low-single-digit percentage below the record achieved in 2024. We believe macro uncertainties are already priced in and view the current level as an attractive entry point, with valuation at 11.3x our 2H26–1H27 EPS estimate and a 7.9% cash yield based on our projected 2026 dividend.

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Makalot Industrial (1477.TW, 1477 TT)

Taiwan Consumer and Industrials | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$270.00
Up/downside to price target (%)	41
Shr price, close (Oct 2, 2026)	NT\$192.00
52-Week Range	NT\$344.00-188.50
Sh out, dil, curr (mn)	247
Mkt cap, curr (mn)	NT\$47,365
EV, curr (mn)	NT\$45,114
Avg daily trading value (mn)	NT\$471

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	14.65	15.88	17.95	19.40
Revenue, net (NT\$ mn)	34,428	35,560	38,315	40,878
EBITDA (NT\$ mn)	5,372	5,809	6,400	6,985
ModelWare net inc (NT \$ mn)	3,614	3,918	4,429	4,785
P/E	19.7	12.1	10.7	9.9
P/BV	5.1	3.4	3.2	3.1
RNOA (%)	33.0	36.0	38.5	42.5
ROE (%)	24.6	27.8	31.7	32.7
EV/EBITDA	12.8	7.8	7.0	6.3
Div yld (%)	5.6	8.6	7.9	8.9
FCF yld ratio (%)	4.3	7.3	9.6	10.3
Leverage (EOP) (%)	(11.1)	(7.9)	(12.9)	(16.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Makalot Industrial (1477.TW)

Base case value, derived by applying a multiple of 17x to our 2026 EPS estimate. Our target multiple is below its average P/E ratio in the prior up-cycle of 21x (after re-rating in 2H23), and is within the stock's 10-year historical 9-29x P/E range. We view this as reasonable, with 2026e earnings growth of 8% seen outperforming apparel and footwear peers with flat to single-digit growth.

Risks to Upside

- New non-US customer wins
- Faster-than-expected inventory digestion
- ASP and margin expansion via more complex garments
- Better US GDP growth
- Faster order reallocation owing to trade tension

Risks to Downside

- Deterioration in the macro environment
- Drastic appreciation of TWD
- Pricing competition initiated from competitors
- Tariff increases on apparel exports from Vietnam or Cambodia

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(as of September 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 10/1/21 : 0/I; 7/12/22 : U/I; 9/5/22 : 0/I; 1/26/24 : E/I; 11/7/25 : 0/I

Price Target History: 5/25/21 : 318.63; 1/15/22 : 303.92; 4/5/22 : 274.51; 5/5/22 : 235.29; 6/1/22 : 230.39; 7/12/22 : 132.35; 8/30/22 : 137.25; 9/5/22 : 269.61; 3/15/23 : 245.1; 5/3/23 : 250; 7/13/23 : 343.14; 9/4/23 : 392.16; 11/1/23 : 441.18; 1/26/24 : 367.65; 5/4/24 : 382.35; 7/2/24 : 397.06; 9/13/24 : 397; 11/1/24 : 355; 11/18/24 : 340; 1/17/25 : 360; 5/5/25 : 310; 6/23/25 : 250; 11/7/25 : 345; 11/12/25 : 350; 3/13/26 : 340; 5/4/26 : 305; 6/24/26 : 280; 8/3/26 : 270

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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China Airlines Ltd (2610.TW)	E (09/16/2025)	NT\$20.35
Chung-Hsin Electric & Machinery Mfg (1513.TW)	E (08/07/2026)	NT\$167.50
Eclat Textile (1476.TW)	O (12/04/2014)	NT\$278.00
Eva Airways Corp (2618.TW)	O (09/16/2025)	NT\$42.35
Feng Tay (9910.TW)	U (02/10/2026)	NT\$67.80
Fortune Electric Co Ltd. (1519.TW)	O (08/07/2026)	NT\$692.00
Fulgent Sun International Holding Co Ltd (9802.TW)	E (02/10/2026)	NT\$64.40
Giant Manufacturing (9921.TW)	O (02/02/2026)	NT\$91.40
Lai Yih Footwear Co Ltd (6890.TW)	E (11/24/2025)	NT\$147.00
Makalot Industrial (1477.TW)	O (11/07/2025)	NT\$192.00
Merida Industry (9914.TW)	O (02/02/2026)	NT\$68.30
Momo Com Inc (8454.TW)	U (01/15/2026)	NT\$239.00
Nien Made Enterprise (8464.TW)	O (04/10/2026)	NT\$361.00
Poya International Co Ltd (5904.TWO)	E (01/15/2026)	NT\$68.40
President Chain Store (2912.TW)	U (01/15/2026)	NT\$210.50
Uni-President Enterprises Corp. (1216.TW)	U (01/15/2026)	NT\$72.70

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.